NATIONAL FOOD AUTHORITY

Office of the Administrator

BAGONG PILIPINAS

Visayas Avenue, VASRA, Diliman, Quezon City 1128 administrator@nfa.gov.ph

SOP No. **GM-PG08.D**

TO : **All Concerned**

SUBJECT : **Amendments/Addendum to the SOP on Contracted Milling**

For the information, guidance, and compliance of all concerned, published hereunder is the Amendment/Addenda to the SOP on Contracted Milling specific to the exceptional cases in the payment for the test milling as recommended by all the Acting Regional Managers during the conduct of the 1st Semestral Assessment and Operational Conference at the SotoGrande Hotel in Iloilo, to wit:

Item A.2.3. **Conduct of Test Milling** of the Implementing Guidelines is hereby amended as follows:

> **The payment for the test milling services rendered shall be on a payment in kind (PIK) scheme through the by-product recoveries. However, in areas where there is no or low demand for rice by-products and the valuation of the same will not be sufficient for the payment of Test Milling services, cash payment shall cover the balance, subject to the submission of Certification supported by report/recommendation to be issued by the Regional Manager;**

As part of Item A.2.3 of the Implementing Guidelines the following:

> ***Inclusion of rice hull/husk as payment through PIK of the test milling services for areas where rice hull/husk is traded and marketed;***

XXX

Addendum to Item B.3.4. on the Delivery and Acceptance of Milling Recoveries shall be as follows:

> ***B.3.4.5. Technical In/Technical Out documentation for the total receipt and outright issuance of rice by-products as payment for the test milling services to lessen expenses in terms of handling and trucking, on the part of the NFA***

Policies and procedures under the original SOP on Contracted Milling (numbered GM-PG08, issued July 16, 1992, made effective August 1, 1992) and its amendments not inconsistent with the above provisions shall still be enforced.

This amendment shall take effect on July 26, 2024.

LARRY R. LACSON, Ph.D.
Acting Administrator

NATIONAL FOOD AUTHORITY

BAGONG PILIPINAS

Visayas Avenue VASRA Diliman Quezon City 1128

RESOLUTION FOR THE APPROVAL AND INCLUSION IN THE REVISIONS/AMENDMENTS ON SOP NO. GM-PG08, THE RECOMMENDED EXCEPTIONAL CASES AND ADDITIONAL PROCEDURES IN THE PAYMENT FOR THE TEST MILLING SERVICES

WHEREAS, Memorandum AO-2024-07067 dated 11 July 2024, Administrator Larry R. Lacson Ph.D., states that **"The payment for test-milling services rendered shall be on a payment-in-kind (PIK) scheme through the by-product recoveries only. Hence, there shall be no cash outlay from NFA for the payment of test milling services."**

WHEREAS, on 24-26 July 2024, the National Food Authority (NFA) conducted the 1st Semestral Assessment and Operational Conference at the SotoGrande Hotel in Iloilo. One of the activities was the workshop of the Acting Regional Managers (Regions I-XII, NCR, BARMM and CARAGA) Test Milling/Milling Operations held on July 25, 2024.

WHEREAS, taking into account the peculiarities and factors affecting the implementation of policies and procedures on Test Milling per Region/Province, it was agreed and recommended subject to the approval of the Administrator, the inclusion of provisions to cover the following recommended exemptions from the payment for test-milling services rendered on a payment-in-kind (PIK) scheme through the by-product recoveries only:

- In areas where there is no or low demand for rice by-products and the valuation of the same will not be sufficient for the payment of Test Milling services, cash payment shall cover the balance, subject to the submission of Certification supported by report/recommendation to be issued by the Regional Manager;

- Inclusion of rice hull/husk as payment through PIK of the test milling services for areas where rice hull/husk is traded and marketed;

- Technical In/Technical Out documentation for the total receipt and outright issuance of rice by-products as payment for the test milling services to lessen expenses in terms of handling and trucking, on the part of the NFA.

WHEREAS, all the Acting Regional Managers of the National Food Authority (NFA) unanimously proposed to adopt the aforementioned recommended procedures for payment relative to the conduct of test milling services.

NOW, THEREFORE, We, the NFA Acting Regional Managers, do hereby RESOLVED as it is hereby RESOLVED to execute this Resolution to recommend under exceptional cases and additional procedures relative to the payment of test milling services.

RESOLVED, this 25th day of July 2024 at the SotoGrande Hotel in Iloilo.

Name	Signature
1. **Ms. ME-ANN C. VILLAFLOR** Acting Regional Manager, NFA Region I	
2. **Ms. LIZA R. BALAGOT** Acting Regional Manager, NFA Region II	
3. **Mr. ROY Q. UNTIVEROS** Acting Regional Manager, NFA Region III	
4. **ATTY. MARKO C. CALLANTA** Acting Regional Manager, NFA Region IV	
5. **Ms. JULIE B. LLENARESAS** Acting Regional Manager, NFA Region V	
6. **Ms. HERRIELLE V. JUMAGBAS** Acting Regional Manager, NFA Region VI	
7. **Mr. OVELITO C. BARITUA** Acting Regional Manager, NFA Region VII	
8. **Mr. GERARD V. LIM** Acting Regional Manager, NFA Region VIII	
9. **Mr. JORDAN L. VALENTE** Acting Regional Manager, NFA Region IX	
10. **Ms. REJORIE R. ONDE** Acting Regional Manager, NFA Region X	
11. **Mr. VERALEW DG. DE VERA** Acting Regional Manager, NFA Region XI	
12. **ATTY. RICHARDSON A. BASSIG** Acting Regional Manager, NFA Region XII	
13. **Mr. JEOFFREY S. PARATON** Acting Regional Manager, NFA-NCR	
14. **Ms. ANGELICA M. PELLIEN** Acting Regional Manager, NFA-ARMM	
15. **Ms. LYDIA ARSAD** Acting Regional Manager, NFA-CARAGA	

EXTREMELY URGENT

NATIONAL FOOD AUTHORITY

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July 26, 2024

MEMORANDUM 2024
AO- 2024 - 07 - 127

TO : **ALL ACTING REGIONAL MANAGERS / OIC BRANCH MANAGERS / OFFICERS-IN-CHARGE**
NFA-REGIONS I to XII, NCR, BARMM and CARAGA

SUBJECT : **RESOLUTION FOR THE APPROVAL AND INCLUSION IN THE REVISIONS/AMENDMENTS ON SOP NO. GM-PG08, THE RECOMMENDED EXCEPTIONAL CASES IN THE PAYMENT FOR THE TEST MILLING SERVICES**

With reference to your resolution dated 26 July 2024, the following recommended exemptions from the payment for test-milling services rendered on a payment-in-kind (PIK) scheme through the by-product recoveries are hereby approved:

- In areas where there is no or low demand for rice by-products and the valuation of the same will not be sufficient for the payment of Test Milling services, cash payment shall cover the balance, subject to the submission of Certification supported by report/recommendation to be issued by the Regional Manager;

- Inclusion of rice hull/husk as payment through PIK of the test milling services for areas where rice hull/husk is traded and marketed;

- Technical In/Technical Out documentation for the total receipt and outright issuance of rice by-products as payment for the test milling services to lessen expenses in terms of handling and trucking, on the part of the NFA.

All previous instructions inconsistent hereto are deemed superseded.

For your compliance.

LARRY R. LACSON, Ph.D.
Administrator